Board of Education Financial Update



PORTLAND
Public Schools

November 17, 2026

Financial Update

- 2026-27 Update
- 2027-28 Outlook
  - Budget Gap Details
  - Pension Costs
  - Budget Development Milestones
  - Pre-Development Activities
- Next Steps



Learning Targets and Success Criteria

I am learning about the current state of the budget and future budget outlook.

I can explain the current budget status, access information, and describe key factors shaping the future budget outlook.

2026-27 Financial Update

Moving from Budget to Actuals

- Beginning fund balance
- September marks the first full payroll of the year
- October Enrollment numbers are in
- Current projections for
  - Revenue +/-
  - Expenditures +/-
- Spending Controls continue

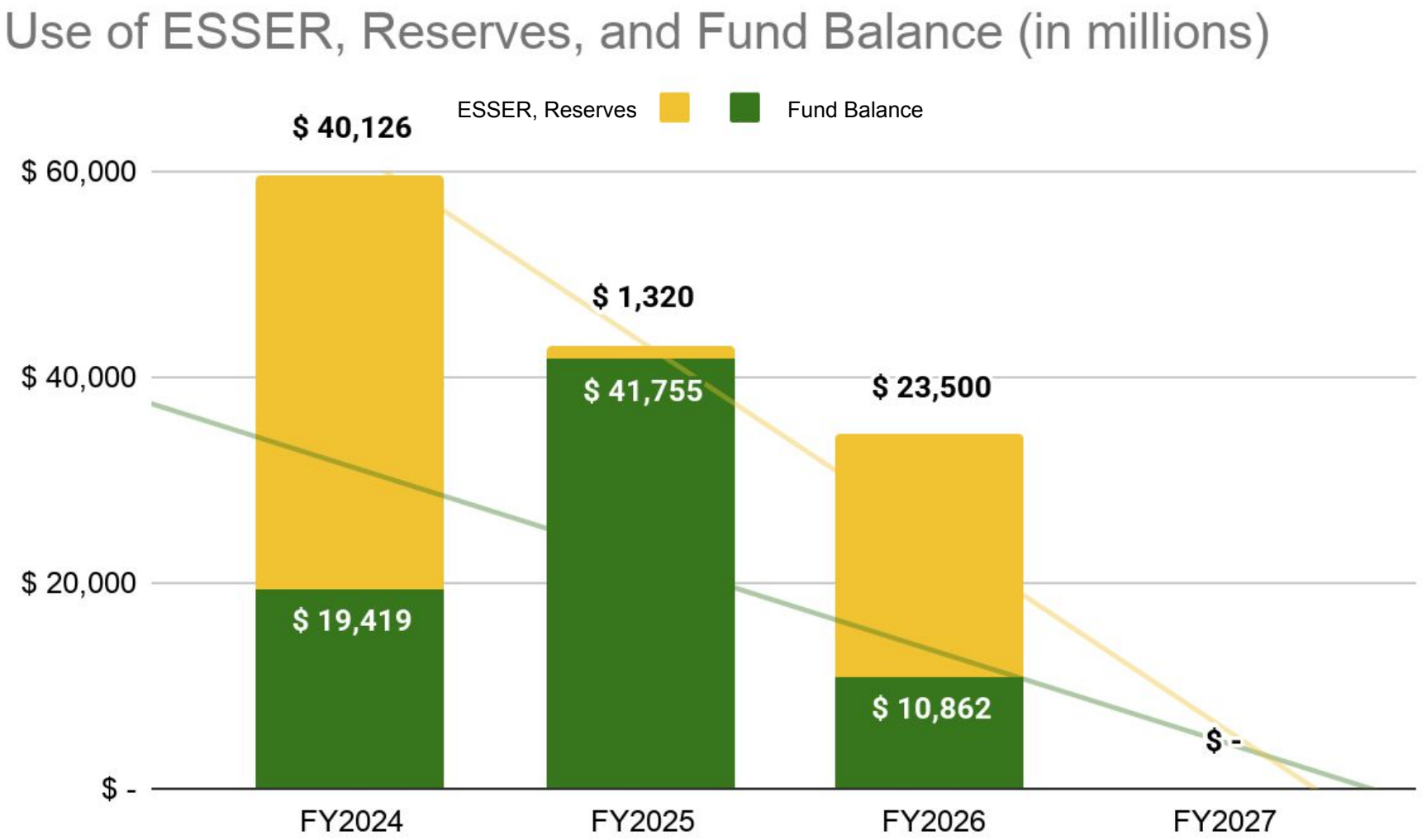
Projections are based on the most recent information available. All estimates *will change* as additional actual information becomes available.

Unofficial General Fund Balance

- Board authorized use of Contingency per Administrative Directive 8.10.030 at the June 23rd meeting
- The Unaudited (still in progress) Balance is 4-5.0% as of June 30th
- 2026-27 Fund Balance will be less than budgeted
- Mostly closed 2025-26 budget gap of $22.5 million
  - Local Revenue Less Than Budgeted
  - Temporary, Substitute, Extended Responsibility Over Budget
  - Capital Outlay/Other (Buses ordered prior year)



Operational Use of One-time Funds



In order to preserve services during a period of declining enrollment and increasing costs, PPS used one-time funds. The 2026-27 Adopted budget does not include use of one-time funds for operations.

Mitigation Strategies

- Review of Central Office and Operations budgets
- Spending restrictions continue
  - Discretionary spending: consolidated budgets and discretionary payrolls (extended hours, overtime, substitutes, travel, training)
  - Chief level expenditure review
  - Restricted hiring for non-student facing positions
- Maximize revenue opportunities for operations

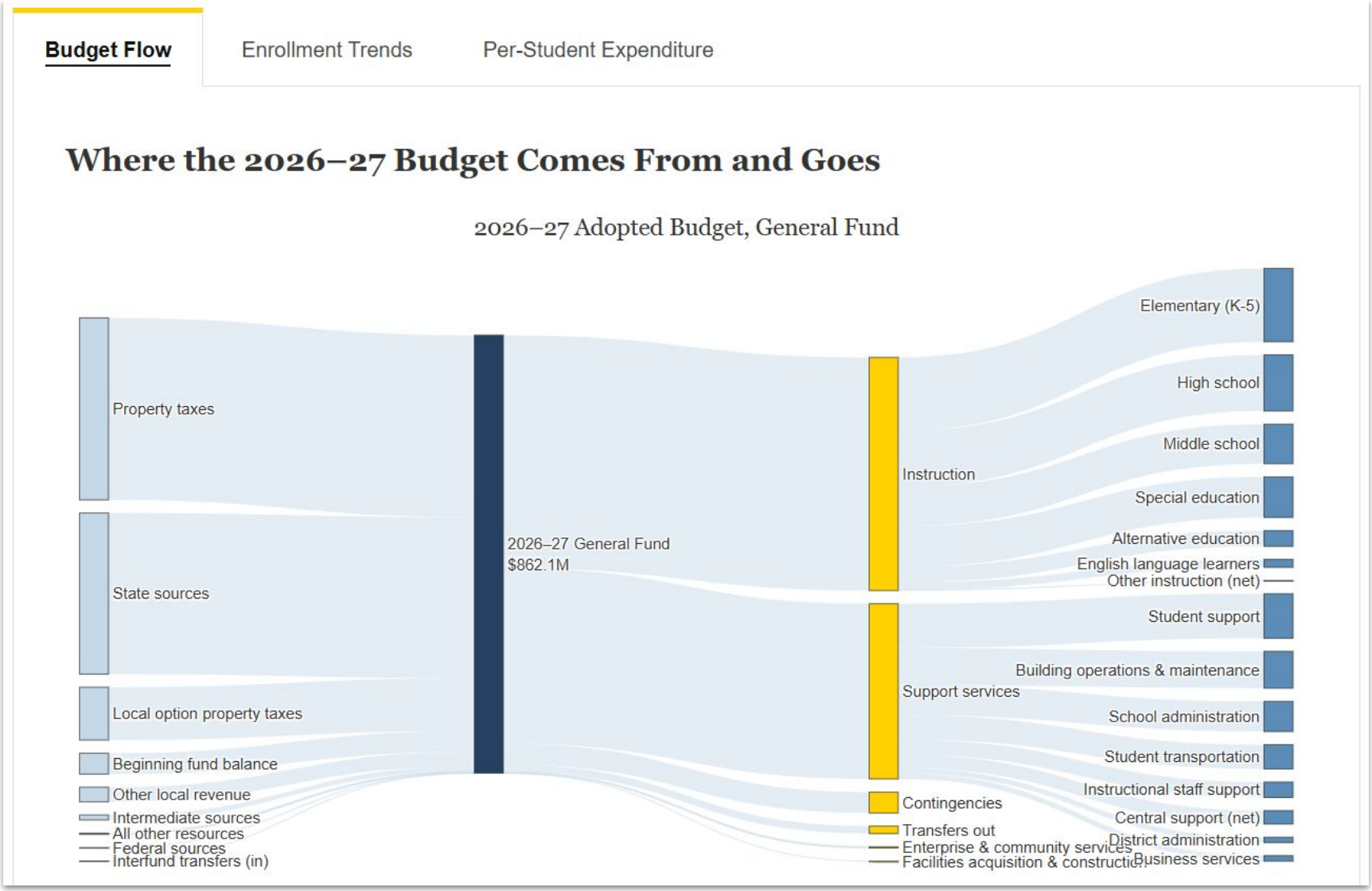


Financial Reporting Status

- Periodic Reports are posted to the PPS Finance web site
- Training for how to interpret the reports is available
- Annual Financial Report scheduled for the Audit Committee next month and full Board in January
- Exceptional work by the full Finance Team, Data teams, Legal, Technology, RISE, and Human Resources



Interactive Budget Dashboard



NEW! There is a new data dashboard posted to the Finance Department web page to increase transparency. The current dashboard is based on the 2026-27 Adopted Budget and includes tabs for General Fund Budget Flow, Enrollment Trends, and Per-Student Expenditures by school.

Budget monitoring and financial reporting tabs will be added in the coming months.

2027-28 Budget Outlook

Multi-Year Service Level Reductions (in millions)

2023-24 CSL Reductions	2024-25 CSL Reductions	2025-26 CSL Reductions	2026-27 CSL Reductions	Projected 2027-28 Reductions
-$10.0	-$40.0	-$43.0 (original) -$22.5 (mid-year) -$65.5 Total	-$56.3	-$65.2

- ➔ CSL - Current Service Level represents the future cost of current service level activities
- ➔ From 2023-24 to 2026-27, PPS has experienced service level reductions totaling $171.8 million
- ➔ 2026-27 CSL Reductions are in addition to the contingencies and risks that have been identified

Why We're Here

$65M

General Fund reduction for 2027-28

Central Office budget decisions come first; staffing workgroup provides recommendations, final staffing selections from schools begins January 2027.

Rising costs

Inflation, investments in compensation and teacher planning time, and rising PERS costs

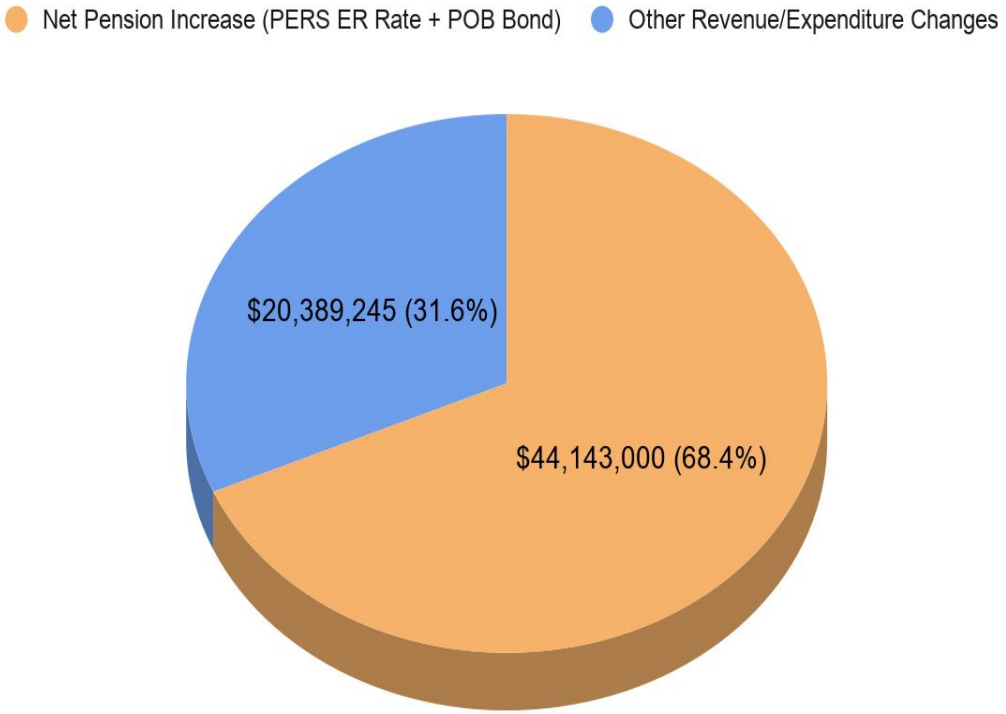
Limited revenue

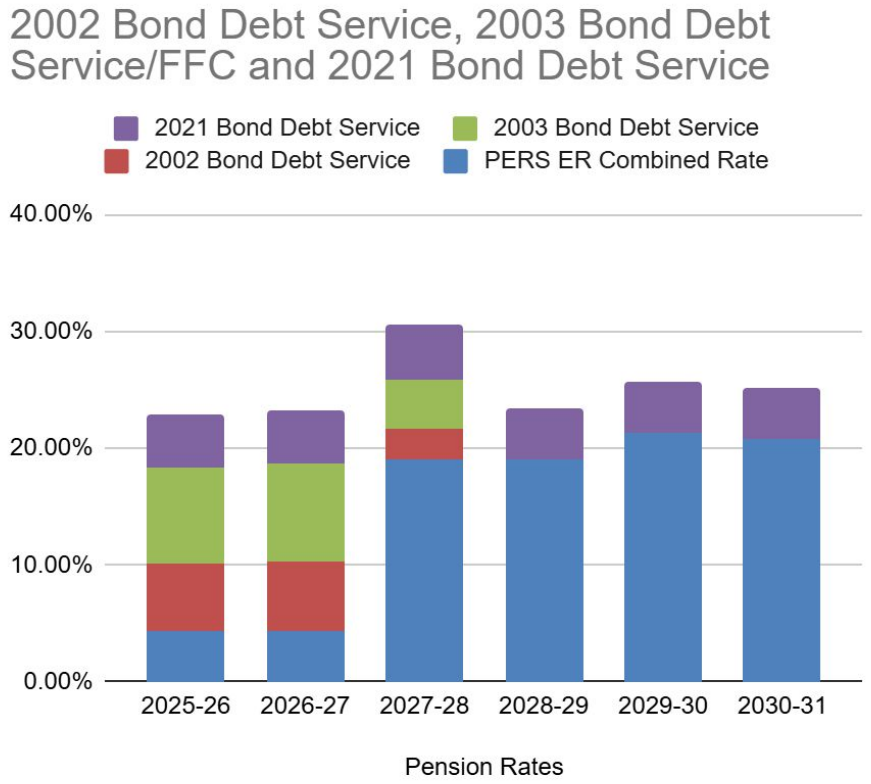
State funding falls short of operating costs, and federal pandemic aid has ended

Declining enrollment

Down 9.5% since 2020, faster than Oregon's 6%, with the same number of buildings

What is Driving the Budget Gap?





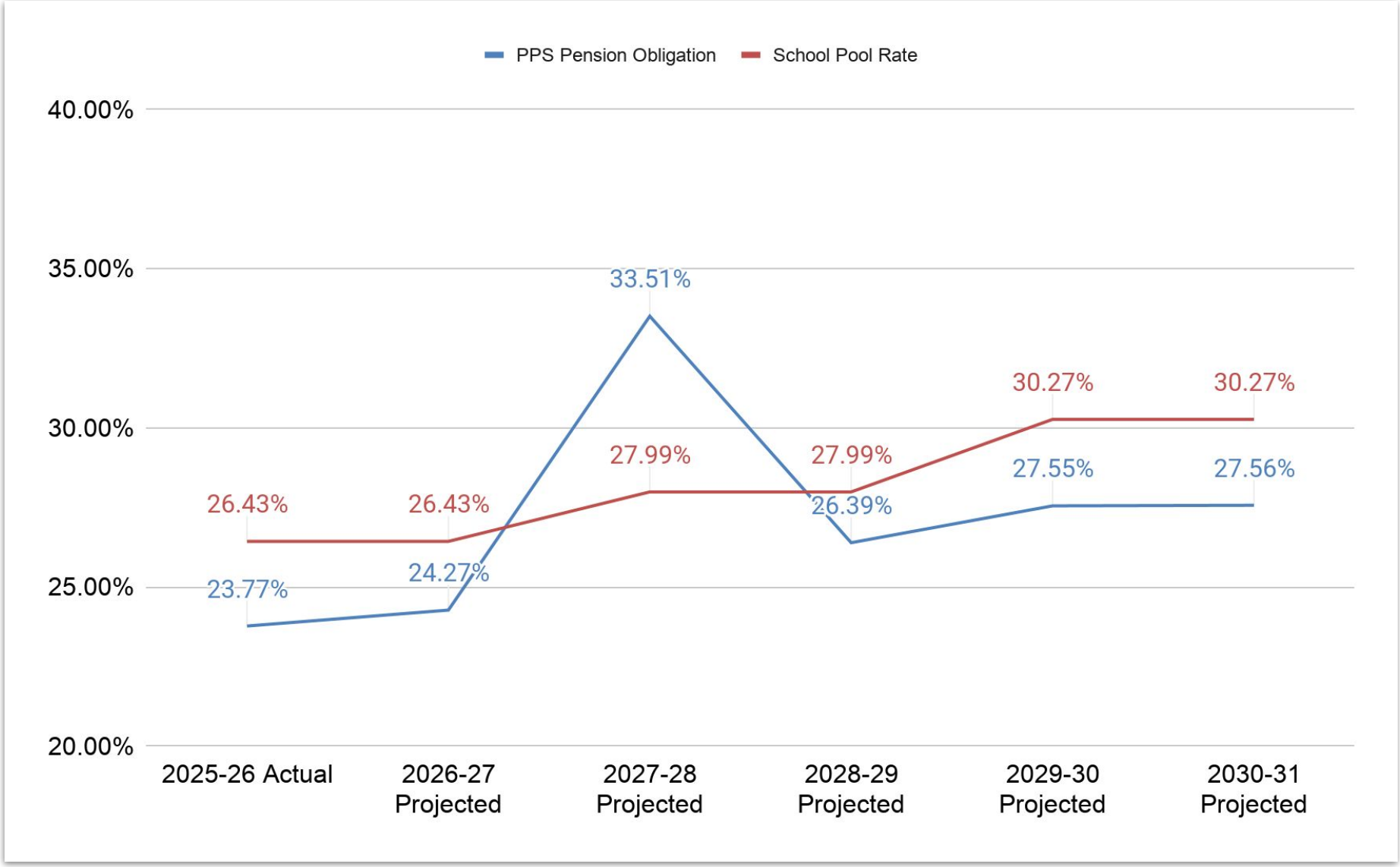
Pension Obligation Bond Risks

The Government Finance Officers Association (GFOA) recommends that state and local governments do not issue POBs for the following reasons:

1. The invested POB proceeds might fail to earn more than the interest rate owed over the term of the bonds, leading to increased overall liabilities for the government.
2. POBs are complex instruments that carry considerable risk. POB structures may incorporate the use of guaranteed investment contracts, swaps, or derivatives, which must be intensively scrutinized as these embedded products can introduce counterparty risk, credit risk and interest rate risk.
3. Issuing taxable debt to fund the pension liability increases the jurisdiction's bonded debt burden and potentially uses up debt capacity that could be used for other purposes. In addition, taxable debt is typically issued without call options or with "make-whole" calls, which can make it more difficult and costly to refund or restructure than traditional tax-exempt debt.
4. POBs are frequently structured in a manner that defers the principal payments or extends repayment over a period longer than the actuarial amortization period, thereby increasing the sponsor's overall costs.
5. Rating agencies may not view the proposed issuance of POBs as credit positive, particularly if the issuance is not part of a more comprehensive plan to address pension funding shortfalls.



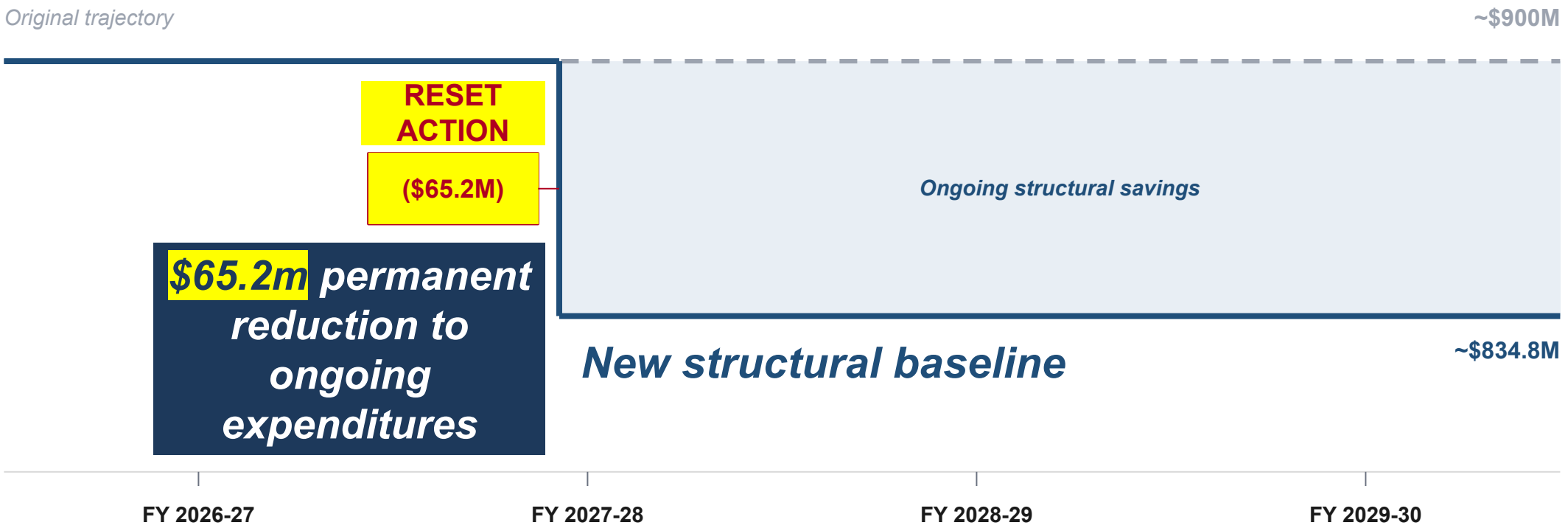
PPS Pension Obligation vs. School Pool



The PPS Pension Obligation is the combined percentage of payroll required to pay the PERS employer rate and the debt service for the Pension Obligation Bonds.

The Reset Lowers the Expenditure Ceiling

Illustrative ongoing expenditure base — before and after the reset



The reset is a permanent step-down. Every future budget is built from the new ~$834.8M baseline, not the prior trajectory.

Budget Development Milestones

1. REVENUE
   a. Governor's Recommended Budget (early December)
   b. Legislative Appropriations (by the end of June)
   c. Local Option Revenue (January)
   d. Beginning Fund Balance (December)
2. EXPENDITURES
   a. Budget Balancing Strategy (now)
   b. Academic Program Changes (end of December)
   c. PAT Negotiation Outcomes (begins in February)
   d. Q2 Enrollment informs Projections (March)
   e. Negotiations Outcomes (tbd)



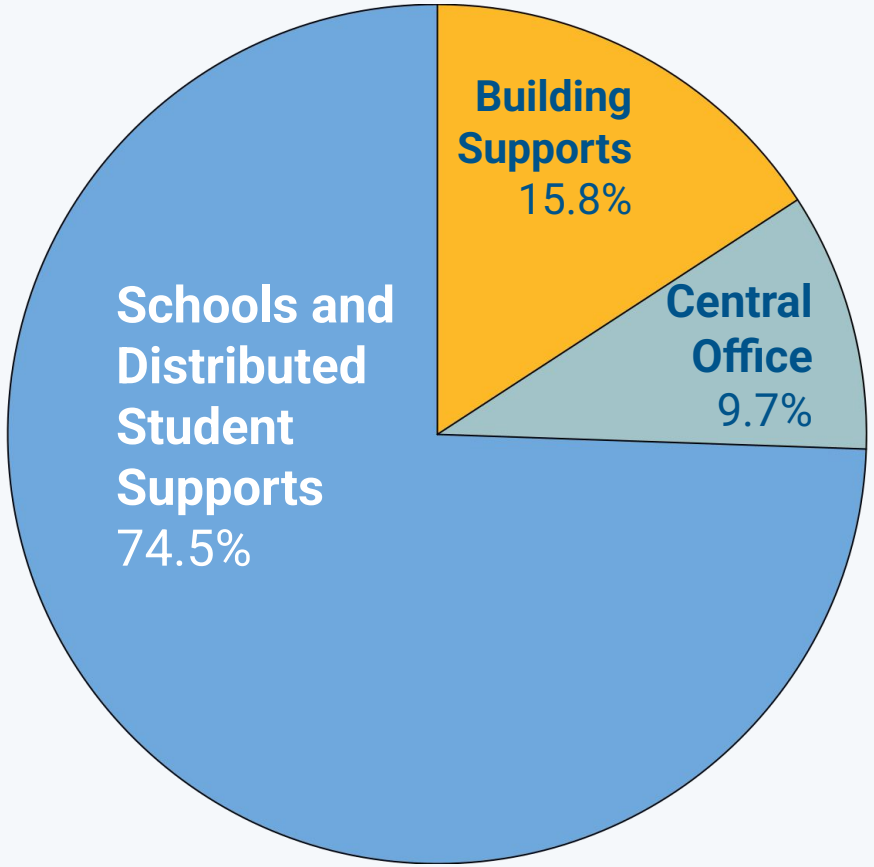
FY28 Reduction Targets by Budget Share*

Initial Gap = $65 Million

Ranges by Service Area

- ➔ Schools and Distributed Student Supports = $48.4M (Ex. Dual Language Programs, Head Start, Virtual Scholars, IB & AP)
- ➔ Central Office Services and Support = $29.4
  - ◆ Building Supports = $10.3M
    - (Ex. Facilities & Asset Management, Security, Utility Services)
  - ◆ Central Office = $6.3M
    - (Ex. Finance, Communications, Health & Safety, Core Academics)

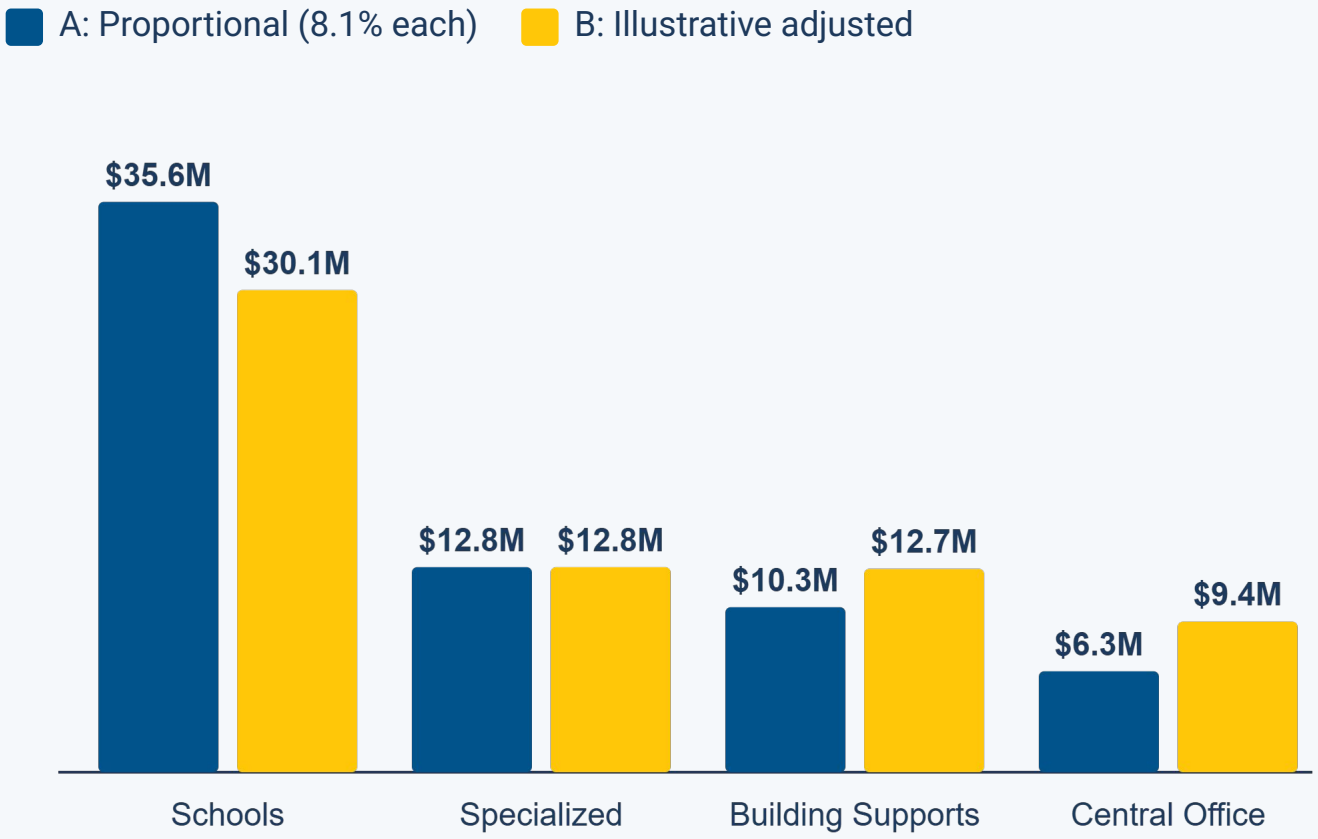
Proportionality of Budgeted Expenses



** General Fund Projections as of September 2026 - Based on FY27 Budget*

Link: Prelim Dept Cut Targets

Budget Balancing Strategy (For Reference Only)



Scenario B assumptions

- Central Office at 12%, Building Supports at 10%
- Specialized Programs at 8.1%
- Schools absorb the remainder: 6.9%

What this tells us

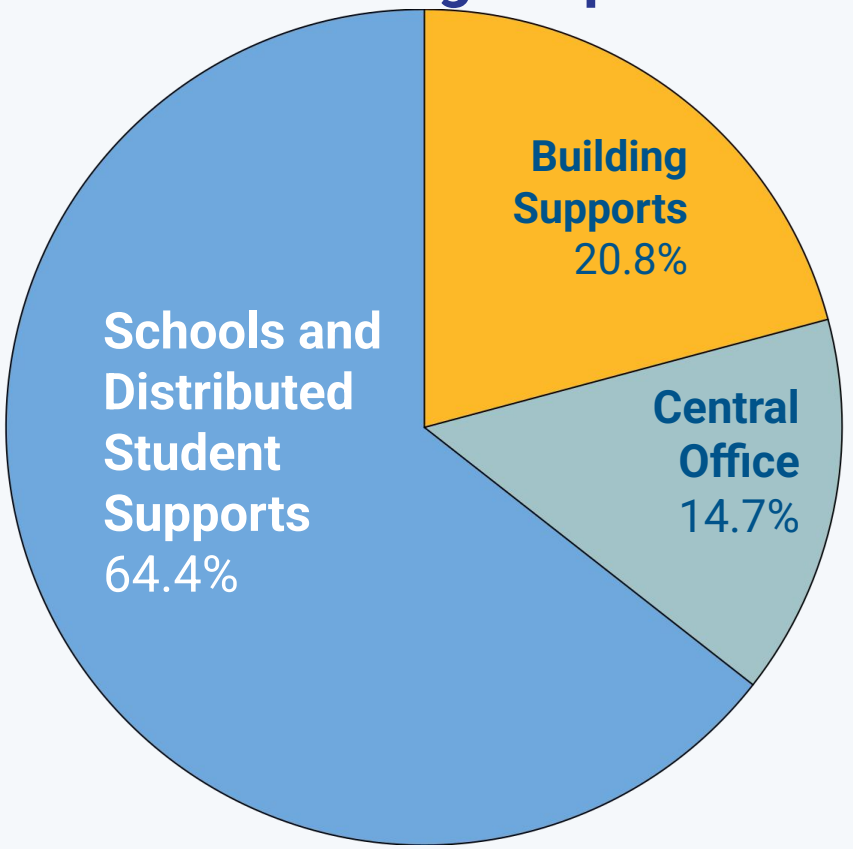
Schools save about **$5.4M**, roughly 1.2 points. Central Office is only 9.7% of the budget, so some school impact is unavoidable. How we cut matters as much as where.

FY28 Reduction Targets
Central/Building+5%

Initial Gap = $65 Million

Ranges by Service Area

- ➔ Schools and Distributed Student Supports = **$41.9M** (Ex. Dual Language Programs, Head Start, Virtual Scholars, IB & AP)
- ➔ Central Office Services and Support = $23.1M
  - ◆ Building Supports = **$13.5M**
    - (Ex. Facilities & Asset Management, Security, Utility Services)
  - ◆ Central Office = **$9.6M**
    - (Ex. Finance, Communications, Health & Safety, Core Academics)



** General Fund Projections as of September 2026 - Based on FY27 Budget*

Link: Prelim Dept Cut Targets

Budget Pre-Development Activities

- Schools and Student Supports: Academic Program Changes ($41.9 million target)
  - Work with school principals to develop changes to the Academic Program
  - Changes will drive school staffing changes
- Central Office and Operations ($23.1 million target)
  - Budget Planning to identify Reductions, Non-required, and Required Recommendations
  - School Impact Analysis
- Budget recommendations shared (no action needed) January 12, 2027
- Pre-assignment Staffing process
- Budget Proposed April 20, 2027
- Budget Approval May 25, 2027
- TSCC Budget Hearing and Adoption June 29, 2026

Related Committee Activities

- Community Budget Review Committee
  - Certification of FY26 Local Option Levy
  - Ongoing engagement
  - Board Connection: Progress Check on current year recommendations
  - Financial Stability Plan development
- Audit Committee
  - Financial Report Review Training
  - Budget to Actuals monitoring
  - Financial Report and Bond Audit monitoring



Questions?

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